

26STCP01978 26STCP01978

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Case Number: 26STCP01978 Hearing Date: August 18, 2026 Dept: 506

SUPERIOR
COURT OF THE STATE OF CALIFORNIA

FOR THE
COUNTY OF LOS ANGELES - CENTRAL DISTRICT

J.G. WENTWORTH ORIGINATIONS,
LLC,

Petitioner,

vs.

W.M.,

Respondent.

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CASE NO.: 26STCP01978

[TENTATIVE] ORDER GRANTING AMENDED PETITION
FOR APPROVAL OF TRANSFER OF STRUCTURED SETTLEMENT PAYMENT RIGHTS

Dept. 506

8:30 a.m.

August 18, 2026

On June 22, 2026, Petitioner

J.G. Wentworth Originations, LLC filed an Amended Petition for approval of transfer of structured settlement payment rights ("Petition"). The Petition seeks transfer of certain structured settlement payment rights held by Walter Martinez ("Payee") under a settlement in connection with a wrongful death claim. (Petition at p. 2, ¶ 3.) If approved, Payee will transfer to Petitioner 9 monthly payments of \$1,400.24 each, beginning on August 1, 2026 and ending on April 1, 2027; 144 monthly payments of \$1,428.25 each, increasing at 2% annually, beginning on May 1, 2027 and ending on April 1, 2039; and 1 payment of \$103,556.00 on April 15, 2031. (Petition, Ex. A, ¶ 2.) In exchange, Petitioner will pay Payee \$203,546.00. (07/08/2026 Notice.)

DISCUSSION

A

direct or indirect transfer of structured settlement payment rights is not effective unless the transfer has been approved in a final court order based on certain express

written findings by the Court. (Ins. Code, § 10139.5, subd. (a).)

A. The Transfer Is In the Best Interest of the Payee.

The

transfer must be in the best interest of the payee, taking into account the welfare and support of the payee's dependents. (Ins. Code, § 10139.5, subd. (a)(1).) When determining whether the transfer is fair, reasonable, and in the payee's best interests, the Court must consider the totality of the circumstances, including but not limited to: (1) the reasonable preference and desire of the payee to complete the proposed transaction, taking into account the payee's age, mental capacity, legal knowledge, and apparent maturity level; (2) the stated purpose of the transfer; (3) the payee's financial and economic situation; (4) the terms of the transaction, including whether the payee is transferring monthly or lump sum payments or all or a portion of his or her future payments; (5) whether, when the settlement was completed, the future periodic payments that are the subject of the proposed transfer were intended to pay for the future medical care and treatment of the payee relating to injuries sustained by the payee in the incident that was the subject of the settlement and whether the payee still needs those future payments to pay for that future care and treatment; (6) whether, when the settlement was completed, the future periodic payments that are the subject of the proposed transfer were intended to provide for the necessary living expenses of the payee and whether the payee still needs the future structured settlement payments to pay for future necessary living expenses; (7) whether the payee is, at the time of the proposed transfer, likely to require future medical care and treatment for the injuries that the payee sustained in connection with the incident that was the subject of the settlement and whether the payee lacks other resources, including insurance, sufficient to cover those future medical expenses; (8) whether the payee has other means of income or support, aside from the structured settlement payments that are the subject of the proposed transfer, sufficient to meet the payee's future financial obligations for maintenance and support of the payee's dependents, specifically including, but not limited to, the payee's child support obligations, if any; (9) whether the financial terms of the transaction, including the discount rate applied to determine the amount to be paid to the payee, the expenses and costs of the transaction for both the payee and the transferee, the size of the transaction, the available financial alternatives to the payee to achieve the payee's stated objectives, are fair and reasonable; (10) whether the payee completed previous transactions involving the payee's structured settlement

payments and the timing and size of the previous transactions and whether the payee was satisfied with any previous transaction; (11) whether the transferee attempted previous transactions involving the payee's structured settlement payments that were denied, or that were dismissed or withdrawn prior to a decision on the merits, within the past five years; (12) whether, to the best of the transferee's knowledge after making inquiry with the payee, the payee has attempted structured settlement payment transfer transactions with another person or entity, other than the transferee, that were denied, or which were dismissed or withdrawn prior to a decision on the merits, within the past five years; (13) whether the payee, or his or her family or dependents, are in or are facing a hardship situation; (14) whether the payee received independent legal or financial advice regarding the transaction; and (15) any other factors or facts that the payee, the transferee, or any other interested party calls to the attention of the reviewing court or that the court determines should be considered in reviewing the transfer.

(Ins. Code., § 10139.5, subd. (b).)

Payee

is 35 years old and not married. (Martinez

Decl. ¶ 8.) He has a one-year-old child who

lives with him; he does not have child support obligations. (Martinez Decl. ¶ 8.) Payee is employed approximately 12 hours per month,

earning \$3,000.00 per month. (Martinez Decl.

¶ 8.) Payee will use the money for a home

addition and remodel, which is intended to accommodate their growing multi-generational family by providing additional living space.

(Martinez Decl. ¶ 11.)

The

original settlement was not intended to pay for future medical care or necessary

living expenses. (Martinez Decl. ¶¶ 6-7.) Payee has not completed any previous transactions. (Martinez Decl. ¶ 9.) If this transfer is approved, there will be no

future payments. (See Petition, Ex. C.)

Payee

acknowledges that he was advised of his right to seek independent counsel and financial advice, and he knowingly waived that right.

(Martinez Decl. ¶ 12.) Payee understands

the terms of the transfer agreement and does not want to exercise his right to cancel the agreement. (Martinez Decl. ¶ 13.)

Under

the terms of this transaction, Payee will pay no expenses. (Petition, Ex. A, ¶ 10.) The transfer and payment of \$203,546.00 was calculated

using a discount rate of 9.72%. (07/08/2026

Notice.)

Considering

all the factors, the Court finds that the transfer is in Payee's best interest.

B. Payee Knowingly Waived His Right to Receive
Independent Professional Advice.

The

payee must be advised in writing by the transferee to seek independent professional advice regarding the transfer and either receive that advice or knowingly waive, in writing, the opportunity to receive the advice. (Ins. Code, § 10139.5, subd. (a)(2).)

The

Transfer Agreement advises that Payee may receive independent legal and financial advice, but Payee knowingly waived the right.
(Petition, Exs. A, E; Martinez Decl. ¶ 12.)

Accordingly,

the Court finds that this requirement is satisfied.

C. Payee Received the Required Disclosure
Form.

The

transferee must provide the payee with a disclosure form that complies with Insurance Code section 10136. (Ins. Code, § 10139.5, subd. (a)(3).) The disclosure form must contain specific text, and the transferee must provide the disclosure form at least ten days before the payee executes a transfer agreement. (Ins. Code, § 10136, subd. (b).)

The

disclosure form here contains the required text and form. (Petition, Ex. B.) Payee received and read the disclosure form at least ten days before signing the transfer agreement. (See Petition, Exs. A-B.)

Accordingly,

the Court finds that this requirement is satisfied.

D. The Transfer Agreement Complies With Statutory Requirements.

The

transfer agreement must comply with Insurance Code sections 10136 and 10138. (Ins. Code, § 10139.5, subd. (a)(3).)

The

transfer agreement contains the required text and form. (Petition, Ex. A.) Additionally, the transfer agreement does not contain any provision (1) waiving the seller's right to sue or waiving his jurisdiction or standing to sue; (2) requiring the seller to indemnify the buyer or to pay the buyer's costs of defense; (3) waiving benefits or rights conferred by law with respect to garnishment of wages; (4) providing that the contract is confidential or proprietary, belonging to the buyer; (5) in which the seller stipulates to a confession of judgment; (6) requiring the seller to pay the buyer's attorney's fees and costs if the purchase agreement is not completed; (7) requiring the seller to pay any tax liability arising under the federal tax laws, other than the seller's own tax liability that results from the transfer; (8) providing for brokerage fees incurred in the contract to be deducted from the purchase price disclosed; (9) providing for forum selection and jurisdiction to be in a court outside of California for any action arising under the contract, if the seller is domiciled in California at the time he signs the transfer agreement; (10) providing for controlling law to be other than California law in any action arising under the contract, if the seller is domiciled in California at the time he signs the transfer agreement; (11) providing the buyer with a security interest or collateral interest in any structured settlement payment rights that exceed the actual dollar amount of the structured settlement payment rights being transferred; or (12) creating a "buyer's first right of refusal" to purchase any remaining structured payment rights that the payee may desire to sell in the future. (Ins. Code, § 10138, subd. (a).)

Accordingly,

the Court finds that the transfer agreement complies with Insurance Code sections 10136 and 10138.

E. The Petition Complies With Notice Requirements.

The

transferee must comply with the notification requirements of subdivision (f)(2). (Ins. Code, § 10139.5, subd. (a)(3).) A notice of proposed transfer and petition must be filed and served no later than 20 days before the hearing and must include: (1)

a copy of the transferee's current petition and any other prior petition; (2) a copy of the proposed transfer agreement and disclosure form required by section 10139.5, subdivision (a)(3); (3) a listing of each of the payee's dependents and their ages; (4) a copy of the disclosure required in section 10136, subdivision (b); (5) a copy of the annuity contract, any qualified assignment agreement, and underlying structured settlement agreement, if available; (6) proof of service showing compliance with the notification requirements; (7) notification that any interested party is entitled to support, oppose, or otherwise respond to the transferee's petition by submitting written comments to the court or by participating in the hearing; (8) notification of the time and place of the hearing and notification of the manner in which and the time by which written responses to the petition must be filed; and (9) notice to the payee's attorney of record at the time the structured settlement was created, if payee entered into the structured settlement at issue within five years prior to the date of the transfer agreement. (Ins. Code, § 10139.5, subd. (f)(2).)

Petitioner's

notice and Petition comply with these requirements. Petitioner filed a proof of service on July 9, 2026. The Petition includes a copy of the transfer agreement (Petition, Ex. A) and disclosure form (Petition, Ex. B), along with the other required information. Notice was given to the required parties.

The

Court finds that this requirement is satisfied.

F. The Petition Does Not Contravene Any
Applicable Statute or Order.

The

transfer must not contravene any applicable statute or the order of any court or other government authority. (Ins. Code, § 10139.5, subd. (a)(4).)

The

transfer complies with statutory requirements, and there is no evidence that it contravenes the order of any court or other government authority.

Accordingly,

the Court finds that this requirement is satisfied.

G. Payee Declares His Understanding of the
Terms.

The
payee must understand the terms of the transfer agreement, including the terms set
forth in the disclosure statement, and the right to cancel the transfer agreement. (Ins. Code, § 10139.5, subd. (a)(5)-(6).)

Payee
declares that he understands the terms of the transfer agreement, including the
terms set forth in the disclosure statement.
(Martinez Decl. ¶ 13.) Additionally,
Payee signed the Transfer Agreement directly under a statement advising him of his
right to cancel the agreement. (Petition,
Ex. A.)

The
Court therefore finds that this requirement is satisfied.

CONCLUSION

The
Petition is GRANTED.

Moving
party to give notice.

Parties
who intend to submit on this tentative must send an email to the Court at
indicating intention to submit. If all parties
in the case submit on the tentative ruling, no appearances before the Court are
required unless a companion hearing (for example, a Case Management Conference)
is also on calendar.

Dated this 18th day of August 2026

Hon. Thomas D. Long

Judge of the Superior
Court